

But while we can see how much money other people spend on cars, homes, clothes, and vacations, we don't get to see their goals, worries, and aspirations. A young lawyer aiming to be a partner at a prestigious law firm might need to maintain an appearance that I, a writer who can work in sweatpants, have no need for. But when his purchases set my own expectations, I'm wandering down a path of potential disappointment because I'm spending the money without the career boost he's getting. We might not even have different styles. We're just playing a different game. It took me years to figure this out.

A takeaway here is that few things matter more with money than understanding your own time horizon and not being persuaded by the actions and behaviors of people playing different games than you are.

The main thing I can recommend is going out of your way to identify what game you're playing.

It's surprising how few of us do. We call everyone investing money "investors" like they're basketball players, all playing the same game with the same rules. When you realize how wrong that notion is you see how vital it is to simply identify what game you're playing. How I invest my own money is detailed in chapter 20, but years ago I wrote out "I am a passive investor optimistic in the world's ability to generate real economic growth and I'm confident that over the next 30 years that growth will accrue to my investments."

This might seem quaint, but once you write that mission statement down you realize everything that's unrelated to it—what the market did this year, or whether we'll have a recession next year—is part of a game I'm not playing. So I don't pay attention to it, and am in no danger of being persuaded by it.

Next, let's talk about pessimism.